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ECONOMY

China's Industrial Profit Growth Surged in September

Profits at China's major industrial firms rose 14.4% from a year earlier in September

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Profit growth at China's major industrial firms remained in double-digit territory in the January-September period. GO NAKAMURA/REUTERS

China's industrial profit growth surged in September, supported by strong gains in electronics and high-tech manufacturing linked to artificial-intelligence and digital-infrastructure spending.

Profits at China's major industrial firms rose 14.4% from a year earlier in September, accelerating from the 4.2% growth in August. However, data released by the National Bureau of Statistics on Tuesday showed that profits for the January-September period increased 15.5%, slightly lower than the 15.7% rise recorded for the January-August period.

New growth drivers played a prominent role in supporting industrial earnings in the January-September period, said Yu Weining, chief

statistician at the bureau.

The electronics industry remained the biggest contributor to profit growth during the nine-month period, with the sector's profit doubling from a year earlier and adding 9.6 percentage points to overall industrial profit expansion.

Demand for AI computing and advanced memory technologies helped electronic materials manufacturers' profits more than triple, while semiconductor discrete device makers posted a 51.7% increase. Profits at optoelectronic device and electronic circuit manufacturers rose 69.8% and 62.5%, respectively.

High-tech manufacturing continued to outperform the broader industrial sector, with profits rising 52.0% in the first nine months. The sector accounted for 25.5% of total industrial profit, up 6.2 percentage points from a year earlier.

Expansion of data centers and computing infrastructure also boosted the technology supply chain. Profits at optical-fiber manufacturers surged almost six fold, while optical-cable makers' profits more than doubled.

Higher commodity prices and demand from AI and renewable-energy industries also supported profits in the raw material sector. The nonferrous metal industry's profit rose 79.7%, while the chemical industry's increased 49.2%. The petroleum refining sector returned to profitability, reporting earnings of 84.2 billion yuan, equivalent to $12.62 billion, compared with a loss a year earlier.

Industrial profitability remained at a high level as costs fell, with the cost per 100 yuan of revenue declining by 0.45 yuan from a year earlier and profit margins rising to 5.68%, according to the statistics bureau.

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